

1 Stakeholder Interests in a Business

Boeing is a clear example of why stakeholders matter. The company focused strongly on cutting costs and increasing shareholder returns, often at the expense of employees and suppliers. As a result, Boeing has struggled with serious safety and quality control problems. In addition, it lost billions of dollars after a strike by workers that shut down production at two of its largest factories.



Door lost during flight

In January 2024, a Boeing 737 lost a door panel shortly after takeoff. Four bolts were missing.

stakeholder

Interessensgruppe, Anspruchsgruppe

1 What Are Stakeholders?

A **stakeholder** is any individual, group, or institution that **has an interest in a business or is affected by its activities**. Businesses do not operate in isolation. Their decisions influence many different groups, and at the same time, these groups influence the success and survival of the business.

Stakeholders can be divided into:

- **internal stakeholders** (inside the company), and
- **external stakeholders** (outside the company).



Understanding stakeholder interests is essential for responsible management, long-term success, and sustainable business practices.

2 The Business at the Center

At the center of the stakeholder model is the **business** itself. The business coordinates resources, produces goods or services, and aims to **achieve its objectives**:

- profitability,
- continuity (survival),
- growth, and
- legal compliance.

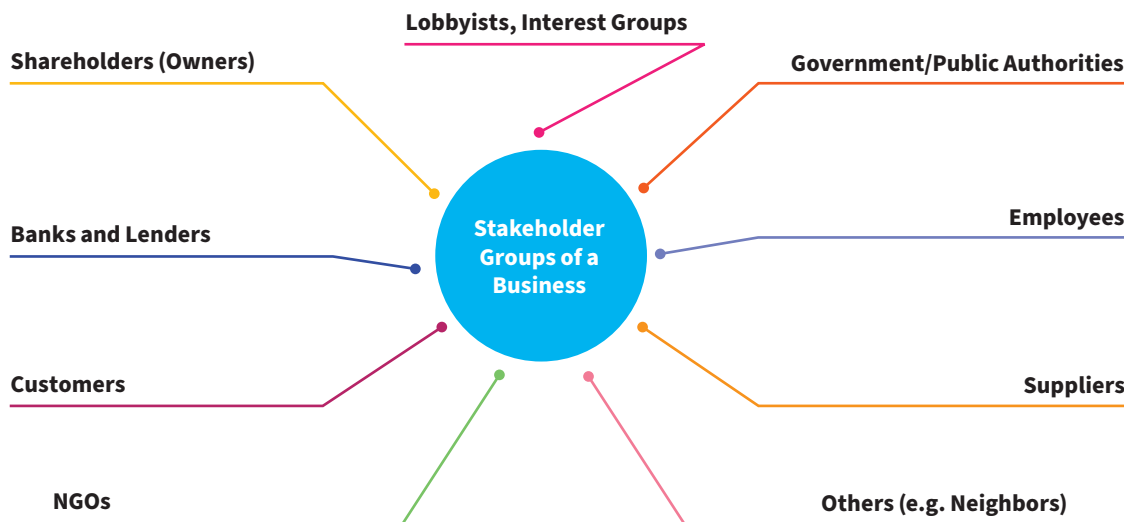
To achieve these goals, the business must **balance different and sometimes conflicting stakeholder interests**.

compliance

Einhaltung von Gesetzen und Vorschriften

3 Key Stakeholder Groups and Their Interests

Take a moment to think about the interests of the key stakeholders shown in the graph.



Shareholders (Owners)

Who they are: Individuals or institutions that own shares in the company.

Main interests:

- Increase in company value
- Profits and dividends
- Long-term financial performance

Shareholders expect management to use capital efficiently and to make decisions that increase the value of their investment.

Banks and Lenders

Who they are: Banks or other financial institutions that provide loans.

Main interests:

- Repayment of loans
- Interest payments
- Financial stability of the business

Banks focus on liquidity, solvency, and risk. They prefer stable businesses with predictable cash flows.

Customers

Who they are: Individuals or organizations that buy the company's products or services.

Main interests:

- Reliable supply

- Good quality
- Fair prices
- Customer service and safety

If customer expectations are not met, demand decreases, directly affecting revenue.

Suppliers

Who they are: Businesses or individuals providing raw materials, components, or services.

Main interests:

- Steady demand
- Timely and secure payment
- Long-term business relationships

Suppliers value reliability and financial discipline from their business partners.

Employees

Who they are: People working for the company.

Main interests:

- Fair pay
- Safe and healthy workplace
- Job security
- Career development

Motivated employees increase productivity and quality, while poor working conditions often lead to high turnover.

turnover
Fluktuation

Government and Public Authorities

Who they are: State institutions at local, national, or international level.

Main interests:

- Payment of taxes
- Compliance with laws and regulations
- Employment creation
- Environmental protection

The government ensures that businesses operate legally and contribute to society.

Lobbyists, NGOs, and Interest Groups

Who they are: Trade unions, environmental organizations, business associations, consumer protection groups.

Main interests:

- Protection of specific economic, social, or environmental interests
- Influence on legislation and business behavior

These groups often act as representatives of broader societal concerns.

Others (e.g. Neighbors, Local Community)

Who they are: People living near production sites or affected indirectly.

Main interests:

- No disturbances (noise, emissions, traffic)
- Environmental protection
- Quality of life

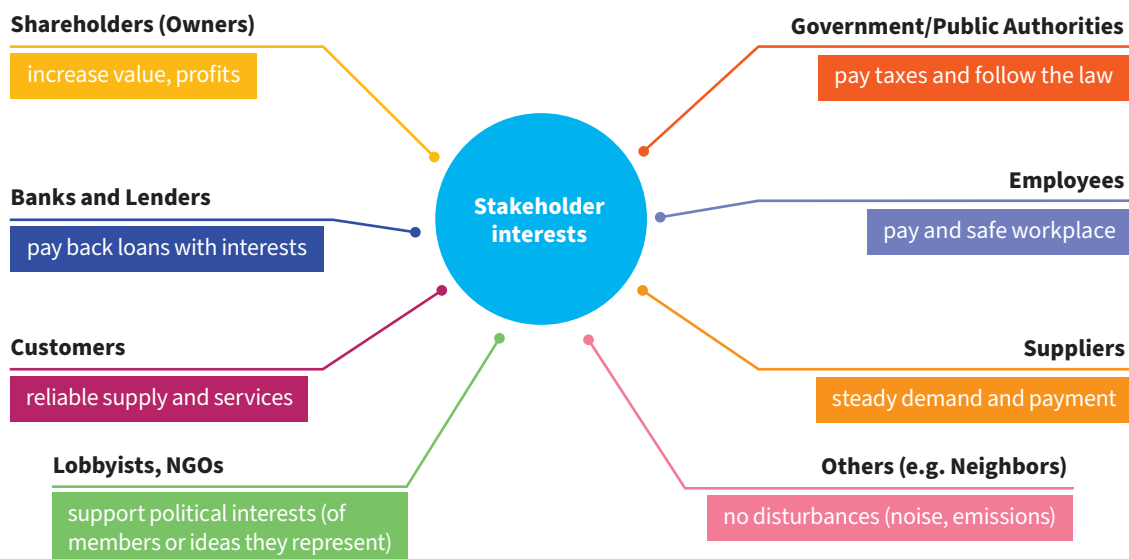
Local acceptance is particularly important for industrial and infrastructure projects.

4 Conflicting Stakeholder Interests

Stakeholder interests often conflict. Examples include:

- Shareholders want **higher profits**, while employees want **higher wages**.
- Customers want **low prices**, while suppliers want **higher prices**.
- Businesses want **flexibility**, while governments impose **regulations**.

Management must balance these interests, often through compromise, communication, and prioritization.



5 Why Stakeholder Management Matters

Effective **stakeholder management** helps to:

- reduce conflicts,
- build trust,
- improve reputation,
- ensure legal compliance,
- support long-term success.

Modern businesses increasingly follow a **stakeholder-oriented approach**, not focusing solely on profit but also on social and environmental responsibility.

reputation
Ruf, Ansehen



PRACTICE

P 1.1 Gap-Fill Text: Stakeholders and Their Interests

Complete the text using the appropriate words.

banks – business – conflict – customers – decrease – emissions – employees – external – government – interest – interest – internal – isolation – payment – prices – relationships – safe – shareholders – suppliers – sustainable – taxes – value

A stakeholder is any individual, group, or institution that has an (1) in a business or is affected by its activities. Businesses do not operate in (2); their decisions influence many different groups inside and outside the company.

Stakeholders can be divided into (3) stakeholders, such as employees and owners, and (4) stakeholders, such as customers, suppliers, and the government. At the center of the stakeholder model is the (5), which coordinates resources and produces goods or services.

One important stakeholder group is the (6). They invest capital in the company and expect an increase in company (7) as well as profits or dividends. Another key stakeholder group is (8), which provide loans and expect repayment with (9).

..... (10) buy the company's products or services. Their main interests are reliable supply, good quality, and fair (11).

If customer expectations are not met, demand may (12).

..... (13) deliver raw materials or services to the company. They are interested in steady demand and timely (14). A lack of trust can harm long-term business (15).

..... (16) are internal stakeholders who work for the company. They expect fair pay, job security, and a (17) working environment.

Motivation and productivity are closely linked to working conditions.

The (18) represents public interests. It expects businesses to pay (19) and follow laws and regulations. In addition, local communities and neighbors expect no disturbances such as noise or (20).

Because stakeholder interests can (21), management must balance different expectations. Effective stakeholder management helps reduce conflicts and supports (22) long-term business success.

P 1.2 Stakeholder Analysis – Cost Cutting in a Dairy Company

Gmundner Milch, dairy producer that manufactures yoghurt and cheese, is facing rising costs for labor, energy, milk, and packaging. To remain competitive, management is considering cost-cutting measures to increase profits.

- a) Identify cost-cutting measures. Describe three different ways the dairy producer could reduce costs.
- b) Analyze stakeholder consequences. For each cost-cutting measure, explain the possible consequences for at least three different stakeholder groups:
- c) Propose an alternative approach. Suggest one alternative strategy that improves profitability while better balancing stakeholder interests.

P 1.3 Stakeholder Importance Across Industries

The importance of stakeholder interests varies across industries. Factors such as safety expectations set by the public, capital intensity, the degree of organized labor, environmental impact, and the bargaining power of customers and suppliers determine which stakeholder groups have the greatest influence.

Form groups and analyze which stakeholder groups are most important in the respective industries:

- **Group 1:** Electric Power generation
 - **Group 2:** Car parts manufacturing
 - **Group 3:** Software development
 - **Group 4:** Supermarkets
 - **Group 5:** Private clinic (hospital)
- a) Name the stakeholders and try to rank them by importance to the success of the business. Justify your ranking and identify potential conflicts.
 - b) Each group presents their results in 5–7 minutes. Use a simple poster, slide, or flipchart.

Photo credits

S. 1: National Transportation Safety Board;